4 Environmental Ethics and Corporate Social Responsibility

Introduction

- Environmental ethics is the branch of ethics that studies the relationship between human actions and natural environment. Environmental ethics treat the environment as a part of society. It is about environmental values and societal attitudes related to protecting and sustaining biodiversity and ecological systems.
- Increasing pollution, depletion of natural resources, dwindling plant and animal biodiversity, loss of wilderness, degradation of ecosystems, and climate change increased societal concern for the environment in both public consciousness and public policy in recent years.
- The negative side-effects of growth brought the environment to the attention of society, which in turn led the technology-related professions to adopt entries in codes of ethics that acknowledged their environmental responsibilities.
- In the past, society did not place much value on the environment, natural resources, such as minerals, air, and water, were viewed as being available for use by humans with little regard to their supply. People gave importance to the environment by concerning its relevance to the desired progress of humans. However, a shift in attitude toward the environment has occurred.
- Ellis and Thompson, for example, explain the Douglas–Wildavsky theory, in which two groups are identified with differing views and values: individualists and egalitarians,
    - Individualists view nature as 'forgiving and resilient' to support their values of free-market democracy and economic growth.
    - Egalitarians, however, view the environment as fragile. And believe that any missteps may have consequences for humans at present and in future. They value the environment and its resources, as well as, equality for all generations through protection of these natural resources.
- Ecological values are part of Indian tradition, where nature is revered for its services to mankind. Various environmentalists, such as Baba Amte have also spread awareness about ecological balance and wildlife preservation. They believed that humans had to live in harmony with nature and not by exploiting nature, and they motivated people to adopt a model of sustainable development that would be beneficial for both mankind and nature.
- The job of environmental ethics is to outline moral obligations in the face of such concerns. The two fundamental questions that environmental ethics must address are: what duties do humans have concerning the environment, and why?

Values and the Environment

- The relationship between values and the environment should be obvious. Aesthetic damage is an obvious value, but the effects of environmental degradation on public health are an essential ethical concern. Other values relevant to the environment include the following.
    - Respect: showing consideration for natural resources, wildlife, flora, and fauna
    - Accountability: being answerable for obligations to not harm the environment
    - Efficiency: producing effectively with a minimum of unnecessary effort or waste of resources
    - Prudency: exercising good judgement in handling matters related to environment
- Many values support consideration of the environment in technological growth, and some values support short-term neglect of the environment. Efficiency is the most often identified as being sacrificed when the environment is considered. Some parts of society believe that limits on the discharge of waste products reduce the efficiency of

manufacturing, with detrimental effects on economic growth and creation of jobs.

- Despite these concerns, the positive values associated with the environment must be considered. The values cited above are especially relevant to the obligations that the current generation has for future generations. Because of this, our ethical responsibilities include sustainability. Following the principles of sustainability shows respect, prudence, and accountability to both the environment itself and future generations. If efficiency is measured from a long-term perspective, then sustainability arguably maximises efficiency.

Ethical Dimensions of Environmentalism

- Engineers will play a major role in solving problems that have resulted from existing technologies, and an even greater role in the solution of future environmental problems. General dimensions of the environment that are especially relevant to engineers include the following.
  - Reducing the risk of environmental problems to public health, safety, and welfare
  - Preserving the environment so that future generations have fair use
  - Protecting the health of the biosphere
  - Planning for the wise use of renewable and non-renewable natural resources
  - Developing the knowledge to reduce uncertainties related to environmental issues
- In the past, developers of new technologies have not given too much consideration to the side-effects of their technology. Actions such as the indiscriminate discarding of waste products, resulting from technological processes have led to environmental problems that adversely affect public health.
- 'Tragedy of the commons' is a term developed by Garrett Hardin to discuss the decay of natural resources that are in the public domain. The tragedy of the commons is that rational decision-making by individuals may not represent rational decisions for society.
- Current examples of this tragedy include overfishing in oceans, killing of whales, melting of polar ice caps, and loss of forest areas, such as the Amazon. Sustaining these commons has benefits for many societies, but those that use these commons often rationalise and argue that the common areas are not at the risk level as stated by those trying to preserve them.
- The values involved on both sides of the commons issue are real and significant.
  - Those seeking the use of the commons point to freedom, tolerance, efficiency, pleasure, and fairness. They generally lack the ethical maturity to see the long-term losses as a whole and can see only the short-term individual gains.
  - Those in favour of greater preservation of the commons identify values, such as aesthetics, knowledge, welfare, prudence, mercy, health, fairness, efficiency, accountability, and compassion.
- Where does the professional enter into the issue of the commons? A variety of technical issues are at the heart of the matter. Engineers understand the technical details associated with a common area. Chemists can provide research related to many pollution problems. Wildlife biologists can provide explanations related to the health and safety of the animals that inhabit the commons. Engineers are important to the solution of problems; however, in many cases, they do not participate in the political, legal, and sociological issues related to the degradation of the commons. While many of the problems associated with the development of common areas require the technical knowledge and experience of engineers. Value issues are central, and these add to the complexity of solving the issue.
- Mankind has had a significant impact on the environment. The anthrosphere is the part of the biosphere affected by humans and used for their activities. This includes such activities as agriculture, urbanisation, and industrialisation.
- All of these are contributions to the anthrosphere, but they also affect the natural

environment. Development of the anthrosphere interferes with the Earth's fundamental physics, chemistry, and biology, thus directly affecting the environment.

- In addition, many conflicting values are involved in developing the anthroposphere, for example, efficiency and industriousness are valued in the building of structures, the assembling of automobiles, and development of land that is undertaken to improve daily lives. However, people's actions cause the pollution of air, water, and soil. Therefore, our lives are improved at the expense of the environment and ecosystems, possibly neglecting the value of fairness, as well as, human health and safety, two important values. The use of leaded gasoline was an example from the past that illustrates the effect of human activities on the environment. The values involved in the construction of the anthrosphere are therefore, complicated and often conflicting.

Pollution

- A pollutant is any noxious substance that is discharged into air, water bodies, or ground, such that the concentration exceeds a state standard. Pollution occurs naturally, such as when rainfall dislodges soil particles and the surface run-off carries it into a stream; decaying leaf matter, or other plant material releases carbon, with the resulting carbon dioxide being a pollutant; excessive heat build-up in streams represents thermal pollution.
- Pollution is also caused by human activities: human pollutant causes can be especially detrimental when no efforts are made to limit the discharge of the pollutant. Pollution related to energy production and use is probably considered the most serious environmental problem caused by humans, but chemicals in surface and ground waters are another pollution problem associated with human activities.
- While natural pollution needs to be controlled, engineers need to focus most on pollution-related to human activities. According to engineering codes of ethics, engineers have significant responsibilities to public health, safety, and welfare, as well as to sustainability. Ethical dilemmas that engineers may need to confront concerning pollution include the following points.
  - An engineer being told by a business not to report an accidental toxic-waste spill, even though a state law indicates that a report must be made
  - Under-reporting air or water-quality readings
  - Illegally dumping construction trash into local river environments
  - Recommending higher fertiliser application rates to ensure high crop yields, even though much of the excess will wash off
- However, human beings as a society, are trying to balance their demand for products and the negative effects associated with pollution. With continued pollution, the values of aesthetics, public health and safety, and fairness are compromised. These value conflicts match one's conveniences against environmental health. These values must be considered as one continues to address environmental issues related to the development of the anthroposphere.

Ethics and Sustainability

- With this increasing awareness of limited resources, the concept of sustainable development is rapidly gaining the recognition of scientists and engineers. In 1987, the World Commission on Environment and Development (WCED) defined sustainable development as development that ensures both present and future generations can meet their own needs.
- Our generation and the generations before have built a life based on unlimited resources. What will happen when these resources are depleted or become too costly to use? Engineers have a social and ethical responsibility both to conserve the natural resources and begin to develop alternative methods that use renewable resources and can be maintained by future generations. The current generation must place a high value on the efficiency of resource use.

- With the recognition of the importance of sustainable development, engineers will need to accept a shift in values. In the past, the value input sources, according to Bremer, changed from religion, community, and family to technology and industry, part of an economic-oriented culture.
- Specific values include knowledge, efficiency, personal gain, and public safety. Knowledge is necessary to create safer products that better meet the needs and wants of users. Production and development value both public safety and efficiency to satisfy the growing needs and wants of a population. People also value the monetary gain that results from such rapid development and production, which generates tax revenues that can be used to provide public-works projects. An increasing portion of production, and resources, has been aimed at increasing personal pleasure and happiness. What values does such resource use suggest?
- Values related to sustainable development are often in competition with values related to improved product development. Sustainable development requires a society to value the environment and be fair to future generations. Decisions about the current use of resources should require consideration of the future rather than only the present, i.e., a long-term perspective rather than a short-term attitude. Sustainable development proposes balancing the values of knowledge, safety, efficiency, and personal gain with the values of fairness to future generations and the quality of the environment that will remain for them.

Bioethics

- Bioethics is the study of the moral issues that arise in the life sciences, which often includes medicine, biology, and even certain key elements of the environmental, population, and social sciences. Bioethics, as it is practised now, is a relatively recent development that has significantly altered the older, more established discipline of medical ethics. Within this broad spectrum would be the long-recognised field of medical ethics, together with the many new concerns that have emerged in recent years.
- A total of four distinct research domains have been established and shared below.
    - In theoretical bioethics, emphasis is placed on the study of the subject's conceptual underpinnings.
    - The term 'clinical ethics' is used to describe the moral dilemmas that arise routinely in the course of providing medical care to patients.
    - When it comes to moral dilemmas involving human life and death, regulatory and policy bioethics look to the law and public policy for guidance. The use of foetal tissue in research, euthanasia, cloning, limiting healthcare resources, and the likes all come under this umbrella.
    - The historical, intellectual, cultural, and social circumstances of ethical dilemmas are taken into account by cultural bioethics.

Business Ethics

- Business ethics represent a set of ethical principles that are applied in a business environment. It applies to all the activities and individuals of an organisation. Many firms develop detailed codes of conduct to guide the actions of people employed in their organisation. Thus, business ethics can be termed as the study of the content and effectiveness of these codes of conduct.
- Business entities should have a moral
- responsibility for what they do, for example, the responsibility of treating their employees well, respecting the environment from which they draw resources, responsibility for the impact of their product on consumers, etc. Corporate reputation is dependent on the level of morality adopted in corporate operations.
- Some examples of ethical business practices are given below.
    - Not being tempted to cheat, deceive, or manipulate others.
    - Following laws and regulations that structure markets and organisations in the letter, as well as, spirit.

- However, laws cannot cover all business practices. Thus, the law leaves gaps that can be exploited by businesses. This is where business ethics comes in. Businesses should not exploit the market when the market is failing due to externalities or imperfect information.

Business Ethics Concerning Consumers

- When interacting with customers, businesses should stick to certain basic ethical guidelines.
- Advertising should be honest about the product and its qualities.
- Observing quality control measures throughout manufacturing is essential to ensuring the well-being of consumers.
- Refraining from exploiting people for financial gain via the sale of demeaning goods and services, such as those containing illegally acquired organs, narcotics, sexual services, etc.

Business Ethics Concerning Employees

- Firms should take care of the following issues while dealing with their employees.
- Non-discrimination: the employees should be treated strictly on the basis of the merit they possess concerning the job.
- Pay commensurate to their efforts: employees should be paid according to the contribution they made towards the success of the organisation.

Corporate Social Responsibility

- The term 'corporate social responsibility' (CSR) may be defined as follow.
- The terms 'corporate' and 'social' refer to different aspects of business and society, respectively.
- Responsibility implies shared blame and duty-sharing.
- The CSR is an approach to doing business that emphasises creating beneficial outcomes for stakeholders (including public at large), customers, workers, and communities.
- The term refers to instances in which a company's goals extend beyond financial gain to include contributing to the common good. It is safe to say that CSR is now a standard feature of the modern business world.
- Social development-related activities include things like sanitation, education, health care, and poverty alleviation, among others. Organisations with a minimum net worth of Rs 500 crore, a turnover of Rs 1000 crore, or a net profit of Rs 5 crore should spend 2 per cent of their average profit over the last three years on these things.
- Therefore, businesses, whether public or private, may greatly aid the state's development efforts via CSR. Governments in underdeveloped nations have few resources and capabilities. As a bonus, it also aids in the following ways.
    - Employees like contributing to the cause of building a better society, therefore encouraging them to become involved in the community. When workers take pride in the firm they represent, they become their biggest advocates.
    - The goods of a firm that recognises and acts upon its social obligations will have a superior reputation, or brand equity, as a result. Consider TATA, an organisation that has built a reputation for itself on those same virtues.
    - Company social responsibility reduces the likelihood of overbearing regulation or interference from government or statutory agencies, allowing for more leeway in policymaking.
    - Better neighbourhoods and more job possibilities are good for society, and a more prosperous community is good for an organisation, as that is where most of its employees and customers live and shop.
- The industry standard for yearly financing is 2 per cent although some firms are allocating more than that. Although, the CSR is gaining popularity, it is also experiencing significant difficulties.
- Positive public perception obtained by one organisation's social responsiveness inspires other companies in the area, or within the same professional group to change in order to reach the same level of public perception.
- It is clear that CSR is not producing the results that businesses and society need.

Often, it is too disassociated from the central economic concept to provide any meaningful social benefit. There are several factors that have led many to doubt the private sector's commitment to social responsibility, including the following.

- Most companies simply do not have the budget to engage or retain CSR experts. This decreases CSR's effectiveness.
- Problems with transparency occur when non-governmental organisations (NGOs) or local authorities (LAs) fail to provide details about their activities, including how they implement their programmes, respond to complaints, evaluate their effects, and spend donated money. This lack of openness has long-lasting consequences for the trust between businesses and their surrounding communities, which is vital to the success of any CSR programme.
- Companies also see CSR as a commercial motivation, seeing it as a means to improve their image in the eyes of consumers and the general public.
- There is a significant disparity in corporate social responsibility spending, with the majority of funds going toward a small number of initiatives in areas like healthcare and education, supported by either company donations to specialised organisations or the expansion of the companies' operations in these fields. Sanitation, infrastructure, and other such areas get a negligible portion.

- The entire essence of CSR legislation is paradoxical, as it seeks to inspire while yet being very hard to legislate goals. So, it is hard to construct 'great schools' if all that is required to satisfy the law is to spend money on education. Because of this, there are calls for stricter corporate responsibility.
- More than a quarter of all CSR money is concentrated in just five states: Maharashtra, Gujarat, Andhra Pradesh, Rajasthan, and Tamil Nadu. Near the bottom of the rankings are the north-eastern states of Nagaland, Mizoram, Tripura, Sikkim, and Meghalaya.
- The following measures can be taken by organisations to improve their CSR funding efficiency and effectiveness.
  - Encourage two-way communication: to build and sustain successful partnerships, companies and NGOs should communicate regularly. Substantial donors may get a board or steering committee position in the NGO, as in the case of the Village Social Transformation Foundation (VSTF) in Maharashtra, where Tata Trusts, Deutsche Bank, and HUL are all part of the steering group.
  - Collaboration and co-creation: involving proactively with partner NGOs as true partners and attending joint meetings. Companies should make valuable suggestions to bring in a more professional approach.
  - Putting in an accountability regime: companies should set clear objectives and expectations for aligning different stakeholders. Due diligence and stringent monitoring of implementing agencies are necessary.
  - Companies should go beyond CSR to CSV, i.e., creating shared value.
  - Companies should diversify their spending areas to bring in equity.
  - Organisations need to build a culture of socially responsible behaviour and should not restrict themselves just to the allocation of funds. A willingness on the part of organisations is necessary to align intentions with action.